Third, control and regulate private enterprise: The Policy Resolution specified eighteen industries of national importance, including automobiles, heavy chemicals, heavy machinery, machine tools, cement, sugar and cotton, which were to be controlled and regulated.

Fourth, open for government intervention: The Policy Resolution decided to leave the rest of the industrial field open to private enterprise, though it was made clear that the state would also progressively participate in this field. Such industries could also be nationalized.

1956 Industrial Policy Resolution Drives the Nail Deeper

The Industrial Policy Resolution, 1956, announced the intent of the government to place ‘commanding heights’ of industries in the public sector, which was a way to achieve ‘a socialist pattern of society’. This was to be done to accelerate the rate of economic growth and speed up industrialization, by developing heavy and machine-making industries, expanding the public sector, and building a large cooperative sector in India.

The 1956 Resolution provided primacy of place in industrialization to the public sector. It stipulated that all industries of basic and strategic importance, or in the nature of public utility services, were to be only in the public sector.

The resolution classified industries into three categories:

First, industries where the state would be exclusively responsible for future development were listed in Schedule A. All new units in these industries, except those whose establishment in the private sector had already been approved, were to be set up by the state. It was reiterated that railways and air transport, arms and ammunition, and atomic energy would only be developed as Central government monopolies.

Second, industries listed in Schedule B were to be progressively state-owned. The government was to take the initiative in establishing new